

Shake Shack

NYSE : SHAK · \$2.44B mkt cap · 43M sh · \$314M cash, \$250M debt · Net cash +\$64M (\$314M cash vs \$250M 0% convert, out-of-the-money); ~42.8M Mature— fully-diluted shares; Revenue \$1.445B FY25 (+15%); GAAP op margin back to 4.3%; FCF +\$57M (~4%); capex ~11.5% of revenue; Down Company DCF ~55% YoY, near the 52-week low after the June-2026 guidance cut

\$56.96

THE CENTRAL QUESTION

Did Shake Shack's ~55% crash to ~13x EV/EBITDA correct an excess to fair value — or overshoot a long-runway, new-CEO unit-growth compounder?

Shake Shack trades at ~\$2.34B (~\$54.70, down ~55% YoY after a June-2026 guidance cut) — ~13x EV/EBITDA on \$1.445B revenue growing ~15%, net cash, operating margin back to 4.3%, FCF positive (~\$57M, ~4%). The bull is a 4x US unit runway (~373 → 1,500), a sub-\$2.0M build cost, a new CEO (Rob Lynch, ex-Wingstop); the bear is capital intensity keeping FCF thin while traffic is barely positive. The DCF asks whether the runway converts to free cash flow — the modal case lands ~fair (-9%), so the crash corrected the excess, not created a bargain.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$49.21 expected fair value today
-13.6% vs spot \$56.96

FORWARD COMPOUNDED VALUE

+5y	+10y	+15y	+20y
\$77.11	\$120.96	\$189.95	\$298.67
1.35x spot	2.12x spot	3.33x spot	5.24x spot

WEIGHTING RATIONALE

Ultra Bear 12% Traffic stalls; FCF never inflects; ~\$13 (-76%).

Bear 30% Units grow but FCF stays thin; ~\$25 (-54%).

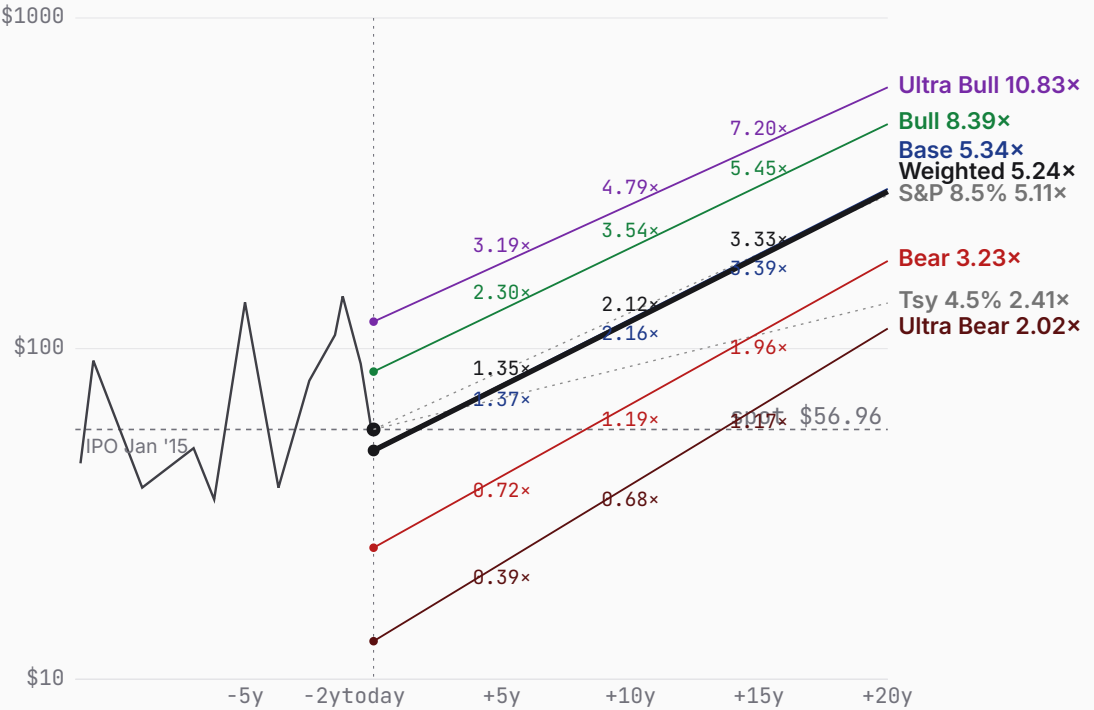
Base 33% Runway continues; FCF grinds to 8%; ~\$50 (-9%).

Bull 18% Lynch delivers FCF inflection; ~\$85 (+56%).

Ultra Bull 7% Wingstop-style compounder; ~\$121 (+121%).

Bull (18%) + Ultra Bull (7%) together contribute \$23.79 — 48% of the \$49.21 expected value despite 25% combined probability. Today's spot (\$56.96) sits 16% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	\$13.04	BEAR	\$25.00	BASE	\$49.56	BULL	\$85.23	ULTRA BULL	\$120.70
	-77.1% vs spot		-56.1% vs spot		-13.0% vs spot		+49.6% vs spot		+111.9% vs spot
CAGR +3.6% WACC 11.5% CAGR +3.6% Prob 12%		CAGR +7.2% WACC 10.5% CAGR +7.2% Prob 30%		CAGR +11.0% WACC 9.5% CAGR +11.0% Prob 33%		CAGR +13.0% WACC 9.0% CAGR +13.0% Prob 18%		CAGR +14.8% WACC 8.5% CAGR +14.8% Prob 7%	
Traffic stalls; FCF never inflects.		Units grow; FCF stays thin.		Runway continues; FCF grinds to 8%.		Lynch delivers; FCF inflects to ~11%.		Wingstop-style compounder; FCF machine.	

PROBABILITY WEIGHTS

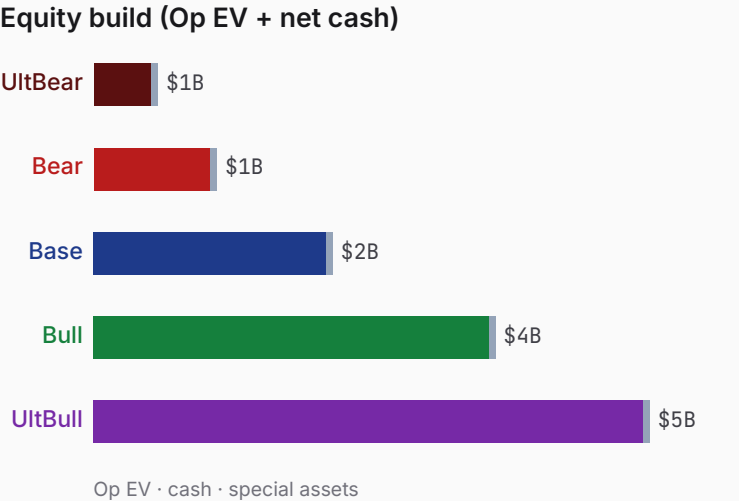
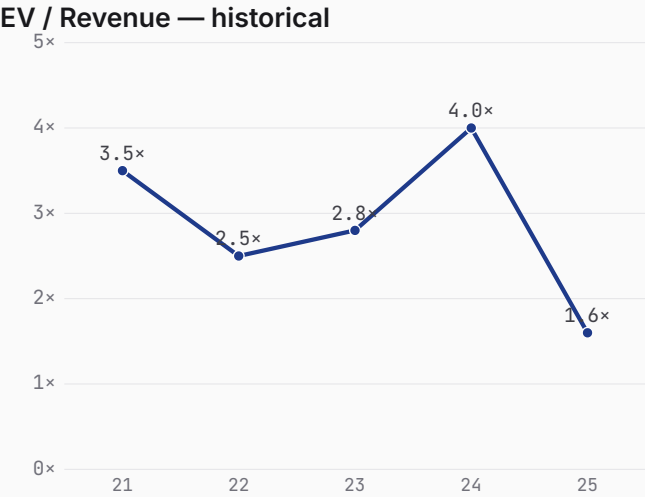
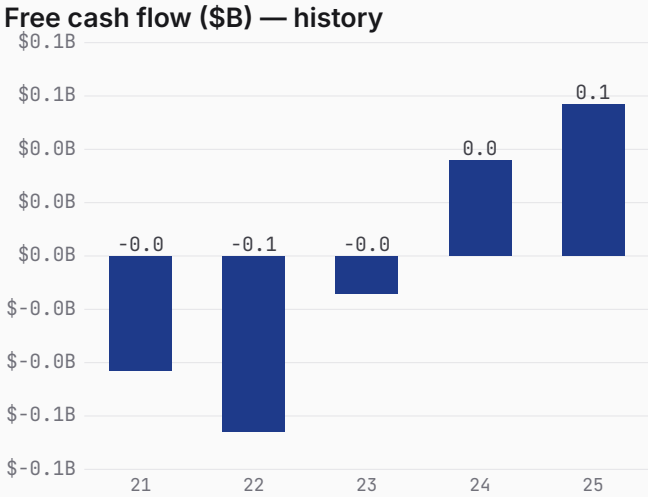
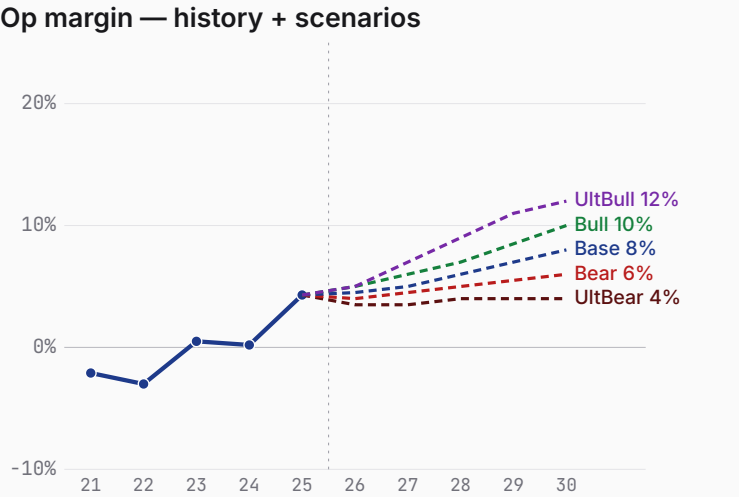
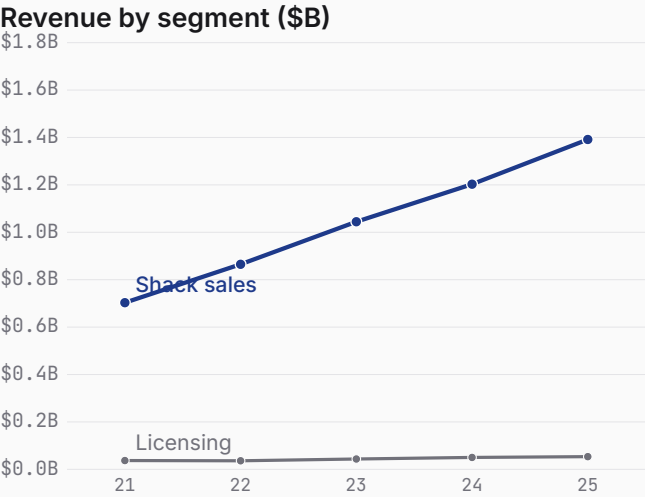
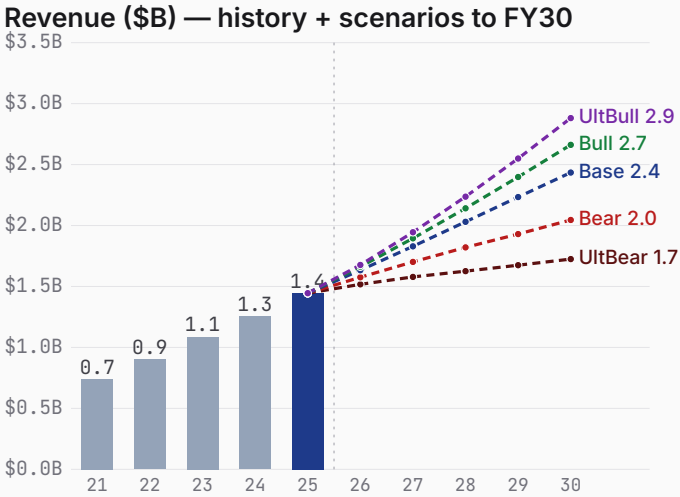
Ultra Bear 12% Bear 30% Base 33% Bull 18% Ultra Bull 7% · Weighted expected \$49.21 (-13.6% vs spot)

ULTRA BEAR	\$13.04	BEAR	\$25.00	BASE	\$49.56	BULL	\$85.23	ULTRA BULL	\$120.70
	-77.1% vs spot		-56.1% vs spot		-13.0% vs spot		+49.6% vs spot		+111.9% vs spot
Probability 12%		Probability 30%		Probability 33%		Probability 18%		Probability 7%	
Traffic stalls; FCF never inflects.		Units grow; FCF stays thin.		Runway continues; FCF grinds to 8%.		Lynch delivers; FCF inflects to ~11%.		Wingstop-style compounder; FCF machine.	
WHY 12%		WHY 30%		WHY 33%		WHY 18%		WHY 7%	
The genuine bear: traffic is already barely positive (FY26 SSS guided +2.5-3.0%, mostly price), beef inflation just forced a margin cut, and management missed its own FY25 EBITDA. 12% weight on the runway failing to convert.		Share gains continue but the capital intensity + soft urban/tourism traffic keep FCF suppressed. 30% as the plausible 'grows but doesn't convert' path, given the guidance cut and the FY25 miss.		Requires the unit runway to continue and FCF to improve as builds scale — consistent with management's plan and the build-cost reduction, but not a step-change. 33% as the central, near-fair outcome.		Lynch's Wingstop record (elite unit-growth/digital/franchise compounder) plus the build-cost cut make a genuine FCF inflection credible. ~18% weight on the operational turnaround landing.		Everything works - units AND margins AND international licensing AND a multiple re-rate, the Wingstop/Chipotle outcome under Lynch. ~7%, the long-duration tail.	
WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS	
The consumer cracks and the better-burger trade-down bites: same-Shack sales go negative, AUV slides off its ~\$4.0M peak, and the accelerating build pace (55-60 units/yr) keeps capex ahead of operating cash. FCF margin stays stuck near 3-4% as a soft top line de-levers the restaurant P&L.		Units keep opening but same-Shack sales stay low-single-digit and price-led, while heavy growth capex (~11-12% of revenue) holds FCF margin near 5%. The unit runway is real but the cash conversion isn't — revenue compounds ~7% to ~\$2.0B at a still-thin ~5.5% FCF margin.		The modal path: company-operated units keep compounding low-double-digit toward the 1,500 target, SSS runs low-single-digit, and FCF margin grinds from ~4% toward ~8% as growth capex moderates against a larger base. Revenue compounds ~11% to ~\$2.4B.		Rob Lynch runs the Wingstop playbook: drive-thru/format expansion enlarges the addressable real estate, digital throughput and operational discipline lift restaurant margins, and FCF margin inflects toward ~11% as build cost stays below \$2.0M. Revenue compounds ~13% to ~\$2.7B.		The full second act: company units march toward 1,500, capital-light international licensing scales the brand globally, digital/AI ('Project Catalyst') lifts throughput and margins, and Shake Shack becomes a true FCF machine at ~13% margin. Revenue compounds ~15% to ~\$2.9B.	
A capital-intensive restaurant that isn't compounding FCF earns a low-single-digit-growth, ~9x terminal multiple → DCF ~\$13 (~76%). Net cash sets a floor but can't offset a stalled unit machine.		DCF ~\$25 (~54%) — a capital-hungry grower whose free cash flow lags its revenue is worth well below today's price; the market's discount is warranted if FCF doesn't inflect.		DCF ~\$50 (~9%) — roughly fair. A 4x unit runway is genuinely valuable, but at ~8% terminal FCF margin and a ~14x multiple the modal case only recovers to about today's price; the crash corrected the prior excess rather than overshooting it.		DCF ~\$85 (+56%) - if the unit runway converts to real free cash flow, the de-rated entry re-rates with the fundamentals; this is the core of the bull.		DCF ~\$121 (+121%) - the brand reclaims a premium fast-casual compounder multiple; ~7% probability, the asymmetric upside the depressed entry is buying.	

Shake Shack business snapshot

Bear \$25.00 Base \$49.56 Bull \$85.23

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end late Dec · FY2025 results + Jun-2026 guidance



Sources: SEC XBRL company facts (CIK 1620533; revenue, GAAP operating income/margin, cash flow, debt), Shake Shack Q4/FY2025 + Q1 FY2026 releases (restaurant-level margin 22.6%, AUV ~\$4.0M, ~373 company-operated units, ~\$2.0M build cost, 1,500 US long-term target), June-2-2026 guidance cut. Revenue modeled as a growth-rate path off FY25; FCF = revenue x FCF margin; Gordon terminal at scenario WACC. EV/EBITDA vs fast-casual peers (CMG/WING/CAVA/PTLO).

Shake Shack 7 Powers · the moat, scored

Bear \$25.00 Base \$49.56 Bull \$85.23

Arena. Premium fast-casual / 'better burger' — Shake Shack (premium brand, ~\$4.0M AUV, ~373 company-operated + ~285 licensed) vs Chipotle, Wingstop, Cava, Portillo's, and the burger set (Five Guys, In-N-Out, McDonald's value); auditing a brand Power against capital intensity and a crowded field. **POWER AUDIT**
dominant-power durability: medium

POWER AUDIT · 7 POWERS

Scale Economies	Sourcing/marketing leverage at \$1.4B revenue and growing, but small vs McDonald's/CMG; national scale is years away.
Network Economies	None — restaurants aren't networks; the app/loyalty is a channel, not a network effect.
Counter-Positioning	Was the 'fine casual' better-burger disruptor; now the incumbent, with drive-thru a catch-up format, not counter-positioning.
Switching Costs	Zero — dining is promiscuous; every meal is a fresh decision.
Branding · thesis leans here	The dominant Power: a genuine premium brand (NYC heritage, ~\$4.0M AUV well above QSR, pricing power) — but brand alone doesn't convert to FCF while capex is heavy.
Cornered Resource	Prime urban real estate + recipes/hospitality culture; valuable but not truly cornered.
Process Power	Emerging under Lynch — build-cost reduction, throughput, digital ('Project Catalyst'); unproven at scale, the bull's swing factor.

COMPETITIVE READ

Shake Shack's brand Power is genuine — a premium 'fine casual' name with ~\$4.0M AUV well above QSR and real pricing power — but a brand doesn't convert to free cash flow while capex runs 11-12% of revenue to fund a 4x unit runway. The Audit: branding is durable (medium), process_power is the emerging swing factor under Lynch (build-cost cut, drive-thru, digital), and the threats are capital intensity + a soft, value-seeking consumer. The ~55% de-rate to ~13x EBITDA corrected the prior excess to roughly fair; the DCF tests whether the runway converts to FCF, and the modal case lands ~-9% — cheap-looking on the multiple, fair on the cash.

PEER SET

Chipotle (CMG)	6% gr · 17% mgn · ~18x EV/EBITDA
Best-in-class fast-casual compounder; the margin/FCF benchmark Shake Shack is measured against.	
Wingstop (WING)	11% gr · 25% mgn · ~37x EV/EBITDA
Asset-light franchise compounder (Lynch's old shop); also wobbling — Q1'26 domestic SSS -8.7%.	
Cava (CAVA)	25% gr · 12% mgn · ~46x EV/EBITDA
The fast-casual growth darling; richest multiple in the set, the unit-growth comp.	
Portillo's (PTLO)	12% gr · 10% mgn · ~14x EV/EBITDA
Closest size/model comp — mid-cap, capital-intensive unit growth, similar multiple.	

THREAT VECTORS · FALSIFIERS

Branding · QSR value wars / trade-down (McDonald's, Five Guys, In-N-Out)
falsifier: Same-Shack traffic stays negative as premium pricing loses to value in a soft consumer.
Scale Economies · Beef/commodity + labor inflation
falsifier: Restaurant-level margin falls below ~21%, rolling back the recovery the build needs.
Process Power · Cava / Wingstop / capital intensity
falsifier: FCF turns negative again as the 55-60/yr build pace outruns operating cash.

Shake Shack show your work

Bear \$25.00 Base \$49.56 Bull \$85.23 · Weighted \$49.21 (-13.6%)

ULTRA BEAR					\$13.04	BEAR					\$25.00	BASE					\$49.56	BULL					\$85.23	ULTRA BULL					\$120.70						
ASSUMPTIONS						ASSUMPTIONS						ASSUMPTIONS						ASSUMPTIONS						ASSUMPTIONS											
5y revenue CAGR (%)					+3.6	5y revenue CAGR (%)					+7.2	5y revenue CAGR (%)					+11.0	5y revenue CAGR (%)					+13.0	5y revenue CAGR (%)					+14.8						
Year-5 op margin (%)					4.0	Year-5 op margin (%)					6.0	Year-5 op margin (%)					8.0	Year-5 op margin (%)					10.0	Year-5 op margin (%)					12.0						
WACC (%)					11.5	WACC (%)					10.5	WACC (%)					9.5	WACC (%)					9.0	WACC (%)					8.5						
Terminal growth (%)					0.0	Terminal growth (%)					1.5	Terminal growth (%)					2.0	Terminal growth (%)					2.5	Terminal growth (%)					2.5						
Terminal FCF (\$B)					\$0.07B	Terminal FCF (\$B)					\$0.11B	Terminal FCF (\$B)					\$0.20B	Terminal FCF (\$B)					\$0.29B	Terminal FCF (\$B)					\$0.38B						
Starting revenue (\$B)					1.45	Starting revenue (\$B)					1.45	Starting revenue (\$B)					1.45	Starting revenue (\$B)					1.45	Starting revenue (\$B)					1.45						
Scenario probability (%)					12	Scenario probability (%)					30	Scenario probability (%)					33	Scenario probability (%)					18	Scenario probability (%)					7						
5-YEAR DCF · \$B						5-YEAR DCF · \$B						5-YEAR DCF · \$B						5-YEAR DCF · \$B						5-YEAR DCF · \$B											
FY	Rev	Margin	FCF	PV FCF		FY	Rev	Margin	FCF	PV FCF		FY	Rev	Margin	FCF	PV FCF		FY	Rev	Margin	FCF	PV FCF		FY	Rev	Margin	FCF	PV FCF		FY	Rev	Margin	FCF	PV FCF	
FY26	1.52	+4%	+0.03	+0.03		FY26	1.58	+4%	+0.06	+0.06		FY26	1.63	+5%	+0.07	+0.07		FY26	1.66	+5%	+0.08	+0.08		FY26	1.68	+5%	+0.10	+0.09		FY26	1.58	+4%	+0.06	+0.06	
FY27	1.58	+4%	+0.05	+0.04		FY27	1.70	+5%	+0.08	+0.06		FY27	1.83	+5%	+0.10	+0.08		FY27	1.89	+6%	+0.13	+0.11		FY27	1.94	+7%	+0.16	+0.13		FY27	1.70	+5%	+0.08	+0.06	
FY28	1.63	+4%	+0.06	+0.04		FY28	1.82	+5%	+0.09	+0.07		FY28	2.03	+6%	+0.13	+0.10		FY28	2.14	+7%	+0.18	+0.14		FY28	2.24	+9%	+0.22	+0.17		FY28	1.82	+5%	+0.09	+0.07	
FY29	1.67	+4%	+0.07	+0.04		FY29	1.93	+6%	+0.10	+0.07		FY29	2.23	+7%	+0.17	+0.12		FY29	2.40	+9%	+0.24	+0.17		FY29	2.55	+11%	+0.31	+0.22		FY29	1.93	+6%	+0.10	+0.07	
FY30	1.72	+4%	+0.07	+0.04		FY30	2.05	+6%	+0.11	+0.07		FY30	2.43	+8%	+0.20	+0.12		FY30	2.66	+10%	+0.29	+0.19		FY30	2.88	+12%	+0.38	+0.25		FY30	2.05	+6%	+0.11	+0.07	
Σ PV explicit FCF					+0.19	Σ PV explicit FCF					+0.32	Σ PV explicit FCF					+0.49	Σ PV explicit FCF					+0.69	Σ PV explicit FCF					+0.87						
+ PV terminal (g 0.0%)					0.35	+ PV terminal (g 1.5%)					0.77	+ PV terminal (g 2.0%)					1.68	+ PV terminal (g 2.5%)					3.00	+ PV terminal (g 2.5%)					4.26						
EQUITY BUILD · \$B & PER SHARE						EQUITY BUILD · \$B & PER SHARE						EQUITY BUILD · \$B & PER SHARE						EQUITY BUILD · \$B & PER SHARE						EQUITY BUILD · \$B & PER SHARE											
Operating EV					\$0.54B	Operating EV					\$1.09B	Operating EV					\$2.17B	Operating EV					\$3.69B	Operating EV					\$5.13B						
+ Cash & investments					\$0.31B	+ Cash & investments					\$0.31B	+ Cash & investments					\$0.31B	+ Cash & investments					\$0.31B	+ Cash & investments					\$0.31B						
– Total debt					\$0.25B	– Total debt					\$0.25B	– Total debt					\$0.25B	– Total debt					\$0.25B	– Total debt					\$0.25B						
= Equity value					\$0.60B	= Equity value					\$1.15B	= Equity value					\$2.23B	= Equity value					\$3.75B	= Equity value					\$5.19B						
FY30 shares (M)					46	FY30 shares (M)					46	FY30 shares (M)					45	FY30 shares (M)					44	FY30 shares (M)					43						
= Expected per share					\$13.04	= Expected per share					\$25.00	= Expected per share					\$49.56	= Expected per share					\$85.23	= Expected per share					\$120.70						
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT						FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT						FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT						FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT						FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT											
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		
\$22.47	\$38.73	\$66.74	\$115.02		\$41.19	\$67.85	\$111.78	\$184.16		\$78.02	\$122.82	\$193.35	\$304.38		\$131.14	\$201.77	\$310.45	\$477.66		\$181.49	\$272.90	\$410.35	\$617.02		\$22.47	\$38.73	\$66.74	\$115.02		\$41.19	\$67.85	\$111.78	\$184.16		
0.39×	0.68×	1.17×	2.02×		0.72×	1.19×	1.96×	3.23×		1.37×	2.16×	3.39×	5.34×		2.30×	3.54×	5.45×	8.39×		3.19×	4.79×	7.20×	10.83×		0.39×	0.68×	1.17×	2.02×		0.72×	1.19×	1.96×	3.23×		



Shake Shack People · Opportunity · Context · Deal

Bear \$25.00 Base \$49.56 Bull \$85.23

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Rob Lynch 2 yrs in seat

4.4% insider ownership
MEDIUM key-person risk

Capital allocation (realized)
Rob Lynch (ex-Papa John's) became CEO in May 2024 — a professional outside hire; founder Danny Meyer is non-executive Chairman, not CEO. The balance sheet is net cash (~\$110M: \$358M cash vs \$248M of 0% converts due 2028). FY2025 revenue \$1.45B (+15%), net income \$50M, ~\$57M FCF — a thin, capital-intensive profile (heavy unit-growth capex). No dividend or buyback.

Incentive alignment
Lynch's package is turnaround-weighted (FY2024 ~\$13M, ~95% equity/bonus); insider trading is routine RSU tax withholding. Founder-Chairman Meyer is paid as a non-employee director and recently bought ~\$2M of stock in the open market (May 2026) after selling into 2025 strength. The structural related-party item is the Up-C Tax Receivable Agreement — Shake Shack pays 85% of realized tax benefits to the continuing LLC owners (incl. Meyer).

GOVERNANCE FLAGS

- Up-C multi-class structure, but Class B is ONE vote per share (no super-voting) — public Class A holders are not disenfranchised
- founder-Chairman Meyer holds only ~8.3% of the vote, and his director-designation rights were wound down (terminated after the 2025 meeting) via a 2023 activist settlement — a de-escalation of founder control
- Chair and CEO are separated, but the Chair (Meyer) is the non-independent founder; 7 of 8 directors independent with a lead independent director (Flug)
- classified / staggered board (three classes) — an entrenchment feature
- Tax Receivable Agreement (85% of tax benefits to continuing LLC owners) and Union Square Hospitality founder ties — ongoing related-party vectors

PEOPLE READ

A cleaner control profile than most founder-influenced names — no super-voting (Class B is one vote), the founder-Chairman holds only ~8.3% of the vote, and his special designation rights were deliberately wound down. But the Up-C structure with its 85% Tax Receivable Agreement, a classified board, a non-independent founder-Chairman, and a ~2-year outside CEO mid-turnaround keep it below the plain single-class blue-chips. Key-person risk is moderate, leaning low.

THE FOUR LEGS

People observable composite · 1–5

Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value (the -10.0% finding) + position sizing.

Shake Shack supporting analysis · disclaimers · glossary

Bear \$25.00 Base \$49.56 Bull \$85.23

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1 **The de-rate corrected an excess, it didn't create a bargain.**
~13x EV/EBITDA is cheap vs CAVA (~46x) / WING (~37x) but the modal DCF is still ~-9% — thin capital-intensive FCF, not the multiple, is the constraint.
- 2 **FCF conversion is the whole question.**
~\$57M FCF on \$1.445B revenue (~4%) while capex runs ~11-12%; the gap between 'units grow' and 'free cash flow grows' is the bull/bear fork.
- 3 **Build cost below \$2.0M is the real improvement.**
A ~20% build-cost cut directly lifts new-unit cash-on-cash (~\$0.9M restaurant profit on <\$2.0M invested) and self-funds more of the runway.
- 4 **New CEO from an elite compounder.**
Rob Lynch built Wingstop into a unit-growth/digital/franchise machine; the drive-thru format + 'Project Catalyst' digital backbone are his levers here.
- 5 **Net cash, p_fail ~0.**
\$314M cash vs a single \$250M 0% convert (OTM, due 2028) — no solvency risk; the downside is multiple/FCF, not survival.

FALSIFICATION TRIGGERS

Bull validation

traffic re-accelerates above +2% (not just price/mix) · restaurant-level margin holds >=23% through beef inflation · FCF margin expands toward 8-10% · 55-60+ builds/yr at <\$2.0M

Bear validation

same-Shack sales turn negative or traffic stays negative 2+ quarters · restaurant-level margin falls below ~21% · FCF turns negative again as capex outruns cash · another guide-vs-miss on EBITDA

Reframe needed

if unit growth slows below ~45 builds/yr or build cost creeps back above ~\$2.2M, the runway shortens - re-rate the terminal toward a low-growth, capital-intensive restaurant multiple

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Same-Shack sales (SSS) — Comparable-base sales growth at company-operated Shacks open 24+ months; decelerating to ~+2% and increasingly price/mix, not traffic - the central bear signal.

Restaurant-level margin — Shack-level operating profit margin (non-GAAP, ~22.6% FY25) before corporate G&A and pre-opening - the unit-economics gauge; the build feeds it into a 4.3% company operating margin.

AUV — Average unit volume (~\$4.0M company-operated) - the per-Shack sales base that, against build cost, sets new-unit returns.

Licensing — Capital-light royalty revenue (~3.7% of revenue but ~\$2.2B system-wide sales) from licensed Shacks, mostly international - the brand's high-margin optionality.

FCF margin — Free cash flow / revenue (~4% FY25); the mature-DCF swing factor - whether heavy growth capex lets the unit runway convert to free cash flow.